



DEPARTMENT OF VETERANS AFFAIRS
Office of Procurement, Acquisition and Logistics (OPAL)
Strategic Acquisition Center (SAC)
5202 Presidents Ct, Suite 103
Frederick, MD 21703

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

(1) Identification of the agency and contracting activity, and specific identification of the document as a “Justification for other than full and open competition.”

This justification is executed by the Department of Veterans Affairs (VA), Strategic Acquisition Center—Frederick (SAC-F), on behalf of the Veterans Health Administration (VHA), Office of Integrated Veteran Care (IVC).

(2) The nature and/or description of the action being approved.

The proposed action will result in a sole source modification to increase the maximum quantity (ceiling) for new provider credentialing by realigning some of the unused maximum quantity for re-credentialing providers on the firm-fixed-price (FFP), Indefinite Delivery Indefinite Quantity (IDIQ) contract 36C10X22D0004. The increase in quantity results in an increase in the total contract value. Orders do not exceed \$7.5M which was the threshold for using simplified procedures under FAR 13.5 at time of IDIQ award on December 17, 2021 (FAR 13.500(a)).

(3) A description of the supplies or services required to meet the agency's needs (including the estimated value).

VA's need for new provider credentialing requires this modification. The number of new providers entering Veterans Care Agreements (VCAs) with VA has increased since contract award, specifically with a surge in the number of nursing homes and dental practices providing care to Veterans. Each provider operating in these health organizations must be credentialed individually as a new provider, increasing VA's need for new credentialing and depletion of the new provider credentialing maximum quantity (ceiling) earlier than expected. Re-credentialing is only required every three years, so this task was not used until Year 4 (2025) of the IDIQ when the providers initially credentialed in Year 1 (2022) were due for re-credentialing. While this was anticipated at original award, the re-credentialing maximum quantity (ceiling) was only 1,000 providers less than the new credentialing, and some of initial providers credentialed did not renew their VCAs, thereby requiring less re-credentialing than estimated at original award.

VA competitively awarded a single award Indefinite Delivery Indefinite Quantity (IDIQ) contract, 36C10X22D0004, with a five-year ordering period (January 3, 2022 – January 2, 2027) to RL Datix, Inc., 311 S WACKER DR STE 4900, Chicago, IL 60606, to provide credentialing verification services for Non-Community Care Network (CCN) providers. These services include new providers credentialing, re-credentialing and monitoring



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providers with operation of a credentialing review board and administrative support for VA's credentialing committee. The unrestricted procurement used open market and simplified procedures for certain commercial items under FAR subpart 13.5; FAR Parts 12 and 13 applied.

The IDIQ defined the contract minimum and maximum by quantities using number of units per Task/Line Item; all minimum quantities were met within the first year and the maximum quantity of 9,465 for new provider credentialing is nearly depleted. However, the maximum quantity for re-credentialing has only reached 5.1% usage. Further the maximum quantity for monitoring has only reached 16% usage. At the time of award, the IDIQ's potential total contract value, based on the maximum quantities and unit prices, was \$7,684,055.00; this value was reported in the award notice on SAM.gov. However, the total net value of all orders to date is only \$3,007,778.67 (only 39% of the potential total contract value at award).

As explained above, the maximum quantity for new provider credentialing was depleted much earlier than VA anticipated when planning and executing the contract award. At the time of this justification, there remains 10 months on the IDIQ ordering period. According to IDIQ order clause (52.216-22), orders may be placed on the last day of the ordering period and last up to one year after that last day.

This action will increase the IDIQ maximum quantity (ceiling) for new provider credentialing by realigning some of the unused maximum quantity for re-credentialing providers. The maximum quantities will be adjusted as follows:

Contract Line Item Description	Original Maximum Quantity	Change	New Maximum Quantity
Task 1: Online Database for VA Staff (7.1) Access to database, priced each/per VA user. One time charge for duration of contract for up to 50 licenses	1	0	1
Task 2: Approved credentialing process/ Implementation (7.2.1) One time charge for duration of contract	1	0	1
Task 2: Credentials Verification Organization (CVO) Services (7.2.2) New Providers, priced per provider	9,465	+3,000	12,465
Task 2: Re-credentialing Verification (7.2.3) All VCA providers credentialed in Year 1 (every three years), priced per provider	8,465	-3,000	5,465
Task 3: Credentialing Committee (7.3) Operation of credentialing review board and	58	0	58



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administrative support for VA Credentialing Committee, priced monthly			
Task 4: Monitoring Providers/NPDB-CQ (7.4) Monitor non-CCN providers, priced per provider, per year	43,130	0	43,130
Monthly Status Reporting Monthly reporting on all aspects of IDIQ and current orders, priced by each month	58	0	58

As a result of the changes above, the total contract value will increase by \$928,530.00 from \$7,684,055.00 to \$8,612,585.00.

(4) An identification of the statutory authority permitting other than full and open competition.

This acquisition is conducted under the procedures of Revolutionary Federal Acquisition Regulation (FAR) Overhaul (RFO) 12.201-1, Simplified procedures, used in accordance with the authority of 41 U.S.C § 1901. Acquisitions valued up to \$9 million conducted under simplified procedures may restrict competition when a written justification as described in RFO 6.104 is prepared and approved. This justification describes all content required by RFO 6.104-1(a).

(5) A demonstration that the proposed contractor's unique qualifications or the nature of the acquisition requires using the authority cited.

RL Datix, Inc. has been successfully performing the credentialing and verification services for non-CCN providers under this contract since 2022. The contractor's credentialing process and implementation was reviewed and approved by VA at the start of the IDIQ (delivered in initial order) as a one-time charge for the duration of the contract. If this contract is not used to its full potential contract value and ordering period, this start-up requirement and associated cost will be necessary earlier than anticipated and VA will not have received the full value of this initial cost. Further, the contractor provides access to the Online Database used for provider credentialing to up to 50 licenses/VA users and a change to another contractor would require new set-up of database access earlier than anticipated.

Given the time still available on the IDIQ ordering period (10 months) and significant remaining amount of the potential total contract value (more than 50%), it is in the Government's best interest to realign the maximum quantities among the Tasks/Line Items initially awarded on the IDIQ to allow robust use of this ordering vehicle and ensure VA receives maximum value from its awarded contract. This action will enable VA sufficient time to plan and solicit the recompete of this IDIQ as originally intended during Fiscal Year 2026.



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(6) A description of efforts made to ensure offers/quotes are solicited from as many potential sources as possible, including whether a notice was or will be publicized as required by FAR 5 and, if not, which exception under part 5 applies.

The original award was publicized and solicited on Contract Opportunities (SAM.gov). using full and open competition under FAR subpart 13.5 in which two quotes were received. It is in the best interest of the Government to increase the ceiling to maintain continuity so the current non-CCN providers can be fully credentialed by placing one last task order before the new contract starts.

(7) A determination by the contracting officer that the anticipated cost to the Government will be fair and reasonable.

The IDIQ unit prices, which were determined fair and reasonable at time of award, will be used for this action with the modifications to Line Item quantities and total price only. The Contracting Officer will ensure all prices are fair and reasonable.

(8) The market research conducted and the results or a statement of the reason market research was not conducted.

Market research was conducted for the IDIQ procurement and award. The current contract satisfies agency needs with years of successful contract performance at a fair and reasonable price. Additional market research was not conducted based on the nature of the action with significant time and contract value that remains available on this IDIQ.

(9) Any other facts supporting using other than full and open competition.

None.

(10) A listing of the sources, if any, that expressed an interest in the acquisition in writing.

None.

(11) A statement of the actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the supplies or services required.

No barriers to future competition are anticipated. Future acquisitions will be awarded on a competitive basis.



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I certify that the supporting data under my cognizance, which are included in this justification, are accurate and complete to the best of my knowledge and belief.

//Original Signed//

VHA Office of Integrated Veteran Care

(12) Contracting officer certification that the justification is accurate and complete to the best of the contracting officer's knowledge and belief.

//Original Signed//

Contracting Officer
Strategic Acquisition Center

Approval

In my role as Contracting Activity Competition Advocate, based on the foregoing justification, I hereby approve this acquisition on an "other than full and open competition" basis pursuant to the statutory authority cited in paragraph four above, subject to availability of funds, and provided that the property and services herein described have otherwise been authorized for acquisition. As this action does not exceed \$20M, the certification below required by RFO 6.104-2(a) serves as approval.

//Original Signed//

Director of Contracts
Procuring Activity Advocate for Competition (SAC Frederick)
Strategic Acquisition Center